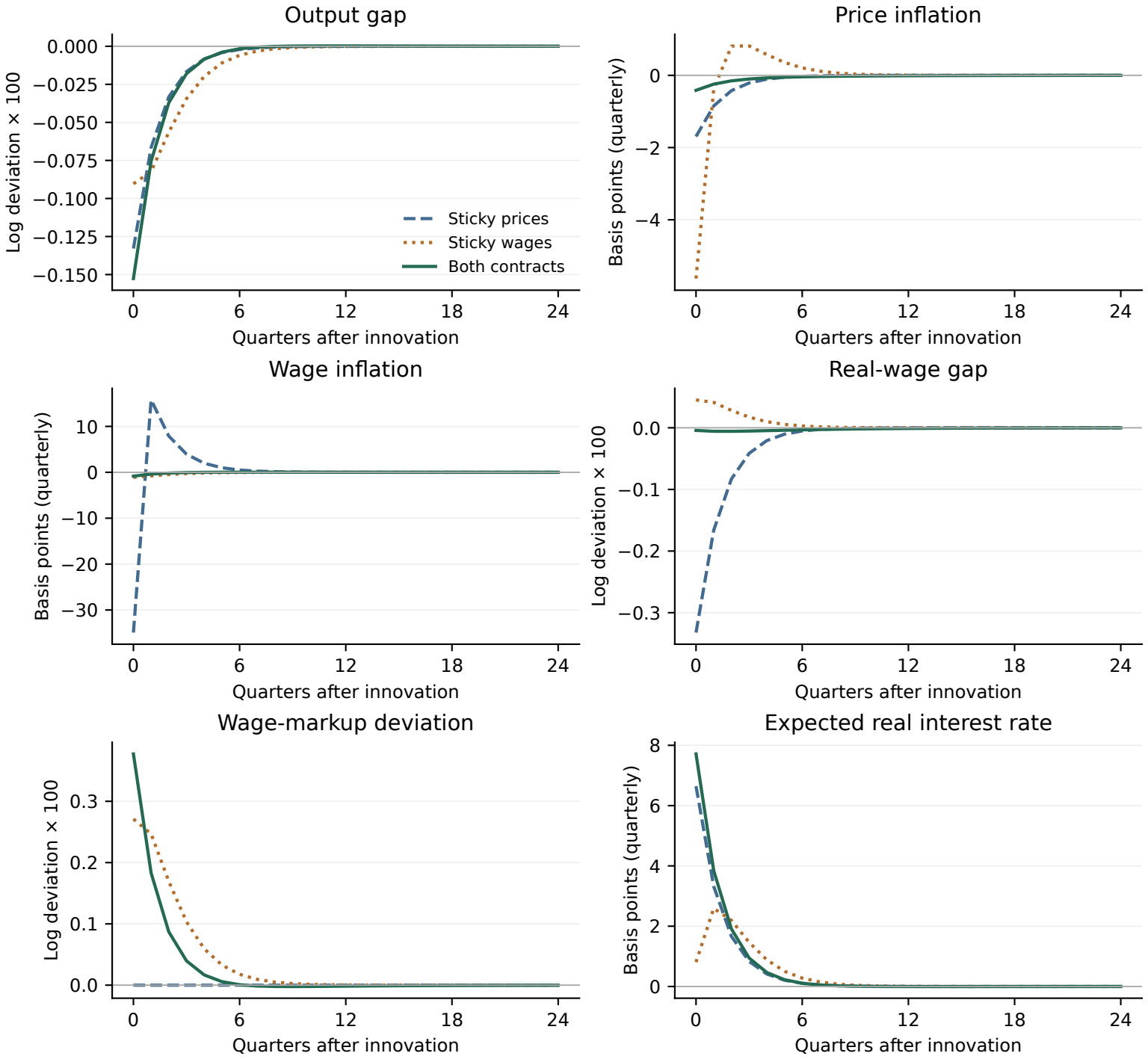
Output gap
Log deviation × 100
0.000
−0.025
−0.050
−0.075
−0.100
−0.125
−0.150
Sticky prices
Sticky wages
Both contracts
0
6
12
18
24
Quarters after innovation
Price inflation
Basis points (quarterly)
0
−2
−4
Quarters after innovation
Wage inflation
Basis points (quarterly)
10
0
−10
−20
−30
Quarters after innovation
Real-wage gap
Log deviation × 100
0.0
−0.1
−0.2
−0.3
Quarters after innovation
Wage-markup deviation
Log deviation × 100
0.3
0.2
0.1
0.0
Quarters after innovation
Expected real interest rate
Basis points (quarterly)
8
6
4
2
0
Quarters after innovation